

Microsoft Corporation - 10-K Annual Report FY2025

Business Overview

Microsoft Corporation is a technology company that develops and supports software, services, devices, and solutions. For fiscal year 2025, Microsoft reported total revenue of \$261.8 billion, up 16% year-over-year. Operating income was \$109.4 billion (42% margin). The company employs approximately 228,000 people worldwide.

Revenue by Segment

Intelligent Cloud (Azure): \$135.7B (+22% YoY) - Azure contributed 43% of total revenue, with Azure growth of 28% in constant currency. Productivity and Business Processes (Office, LinkedIn): \$83.4B (+12% YoY). More Personal Computing (Windows, Xbox, Surface): \$42.7B (+6% YoY).

Key Risk Factors

1. Cybersecurity Risk: Significant exposure from AI infrastructure expansion increases attack surface. The company disclosed 3 material cybersecurity incidents in FY2025. 2. Regulatory Risk: EU Digital Markets Act compliance costs estimated at \$1.2 billion annually. Ongoing antitrust scrutiny in the US and EU regarding AI and cloud market concentration. 3. Market Concentration: Azure contributing 43% of revenue creates single-segment dependency. 4. AI Competition: Intensifying competition from Google, Amazon, and emerging AI startups could pressure margins and market share in the cloud and AI segments.

Financial Performance

Net income: \$88.1 billion (+18% YoY). Earnings per diluted share: \$11.80. Free cash flow: \$74.3 billion. The company returned \$34.2 billion to shareholders through dividends (\$9.7B) and share repurchases (\$24.5B). Total assets: \$548.0 billion. Long-term debt: \$42.7 billion.

Interest Rate Sensitivity

A hypothetical 100 basis point increase in interest rates would result in an estimated decrease in the fair value of the investment portfolio of approximately \$1.8 billion. The company's floating rate debt exposure is approximately \$8.4 billion. Duration of the fixed income portfolio is 3.2 years.